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FX ARGENTINA BRAZIL

Latam FX Talking: Moving into orbit of Brazil's elections

Latin currencies have been relatively stable and have continued to outperform their steep forward curves. Brazil's high carry remains attractive, but investors will have to be attentive to political news in the run-up to the presidential elections in early October. Elsewhere, both the Mexican peso and Chile's peso look quite stable

Election uncertainty in Brazil is creeping higher, yet the real remains one of Latam's best performers. Pictured: Brazilian President Lula

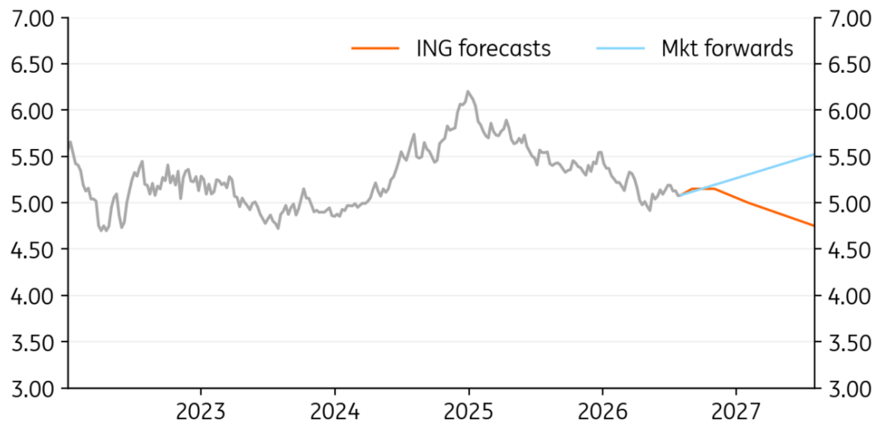
Main ING Latam FX Forecasts

	USD/BRL		USD/MXN		USD/CLP	
1M	5.15	↓	17.25	↓	900	↓
3M	5.15	↓	17.25	↓	900	↓
6M	5.00	↓	17.25	↓	900	↓
12M	4.75	↓	17.25	↓	900	↓

USD/BRL: Gearing up for the October election

	Spot	One month bias	1M	3M	6M	12M
	5.1224	Mildly Bullish	5.15	5.15	5.00	4.75

- Away from the major outperformers of the Korean won and Colombian peso, Brazil's real has delivered the strongest total return against the dollar this quarter. 13% implied yields remain attractive, and we doubt BACEN 25bp rate cuts in August and September will dent the BRL's appeal.
- Increasing focus is being given to the first round of the presidential election on 4 October. President Lula is marginally ahead in the polls, but Flavio Bolsonaro is closing the gap. Neither candidate wants to discuss austerity despite Brazil's large deficits.
- Based on ING's view of no Fed hikes and a benign $ decline into year-end, the BRL should remain bid and outperform the forward.

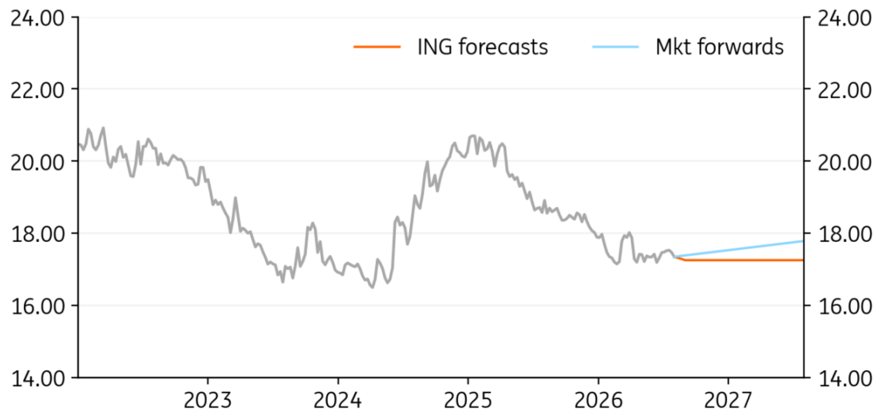


Source: Refinitiv, ING Forecasts

USD/MXN: Implied volatility can drop

	Spot	One month bias	1M	3M	6M	12M
	17.2600	Neutral	17.25	17.25	17.25	17.25

- USD/MXN implied volatility trades structurally higher than realised volatility but may well come down. 17.10 to 17.70 looks a well-worn trading range, which has shown the peso being quite resilient to dollar strength earlier this summer. Interestingly, even as the market prices 40-50bp of Fed hikes, very little change is expected in the 6.50% Banxico policy rate.
- If we're right with no Fed hikes, USD/MXN will test the bottom of the range. However, Banxico doesn't like USD/MXN sub-17.00.
- Any trouble with USMCA renegotiation or a Fed hike could see USD/MXN press the upside again, but 6.75% yields provide a cushion.

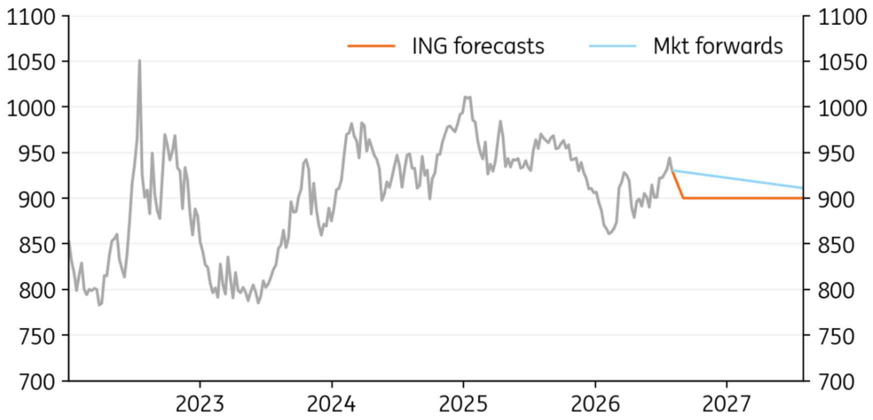


Source: Refinitiv, ING Forecasts

USD/CLP: Copper looking like it wants to go higher

	Spot	One month bias	1M	3M	6M	12M
	913.8800	Bearish ↘	900.00	900.00	900.00	900.00

- Kevin Warsh's less hawkish Fed press conference in July has given Chile's peso a reprieve. The top of the USD/CLP range at 950 held and it could make a run at 900 if copper can break above $14,000/MT. Here, all eyes are on Washington and whether the Commerce Department broadens copper tariffs to include more of the raw material. That could prove a double-edged sword for the peso, depending on whether Chile's exports are exempted.
- Away from copper, Chile's growth is not particularly dynamic and implied yields are relatively low within Latam at 3.5%.
- It looks like the central bank would still like to cut rates, but the markets expect flat rates for six months and then a hike.



Source: Refinitiv, ING Forecasts

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